

Axis Bank Ltd

Investment Rating : Weak

Company Overview

Website	http://www.axisbank.com/
Sector	nan
Market Cap	948,868.63 Cr
PE Ratio	38.14
PB Ratio	4.66
Dividend Yield	2.32 %

Financial Quality

ROE	18.4
ROCE	7.06
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	45.0
Reinvestment	Aggressive Expansion
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

Incorporated in December 1993, Axis Bank Limited is a private sector bank. It has the third-largest network of branches among private sector banks and an international presence through branches in DIFC (Dubai) and Singapore along with representative offices in Abu Dhabi, Sharjah, Dhaka and Dubai and an offshore banking unit in GIFT City.

Strengths

Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Debt-to-equity ratio of 8.25 is elevated for a non-financial company and warrants monitoring.
Rising debt over the past 3 years suggests increasing financial leverage risk.

Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.
Net debt exceeding three times operating profit indicates elevated financial leverage.